



Equity Partner Evolution - 2025

Strategic Growth Insights for CPA & Accounting Firms

Executive Summary

This report analyzes equity partner structures across the U.S. CPA and Accounting industry, examining how partnership models evolve as firms scale from small practices to industry leaders. It identifies clear stages in partnership design, compensation, and governance that align with firm size and growth trajectory. Based on an analysis of **506 firms**, the report highlights key structural inflection points where changes in partnership economics, leverage, and leadership models materially influence firm performance, offering a practical roadmap for firms navigating growth and consolidation.

Key Industry Trends (2025)



Leverage ratios are increasing, with firms deploying higher employee-to-partner models as equity ownership becomes more concentrated among fewer decision-makers.



Partnership titles are increasingly decoupled from equity. More firms are creating non-equity roles that offer profit participation without governance control or long-term ownership upside.



AI-driven operating leverage accelerates structural change, reducing reliance on partner-level production work and shifting partner focus toward advisory leadership, origination, and firm-level oversight.



Corporate-style executive leadership layers are emerging above the partnership, as both PE-backed and independent firms adopt formal C-suite structures to manage scale, complexity, and growth.



Private equity-led consolidation is reinforcing equity compression, with firms favoring income partners and ESOP participation over broad-based voting equity, further eroding the traditional partner-as-owner model.

Partnership Economics Insights

Critical economic patterns shaping firm performance and structural design



Partnership Leverage Evolution

As firms scale, equity partner concentration follows a U-shape, from **81–84%** at smaller firms, compressing to **59–65%** at mid-to-large firms, then rising back to 81% at Top firms with exclusive strategic equity tiers.



Compensation Inflection Point

Firms in the **\$15–30M** net revenue range represent a critical transition stage, where compensation models shift from predominantly open to predominantly closed structures, coinciding with formalized governance frameworks.



Succession Economics

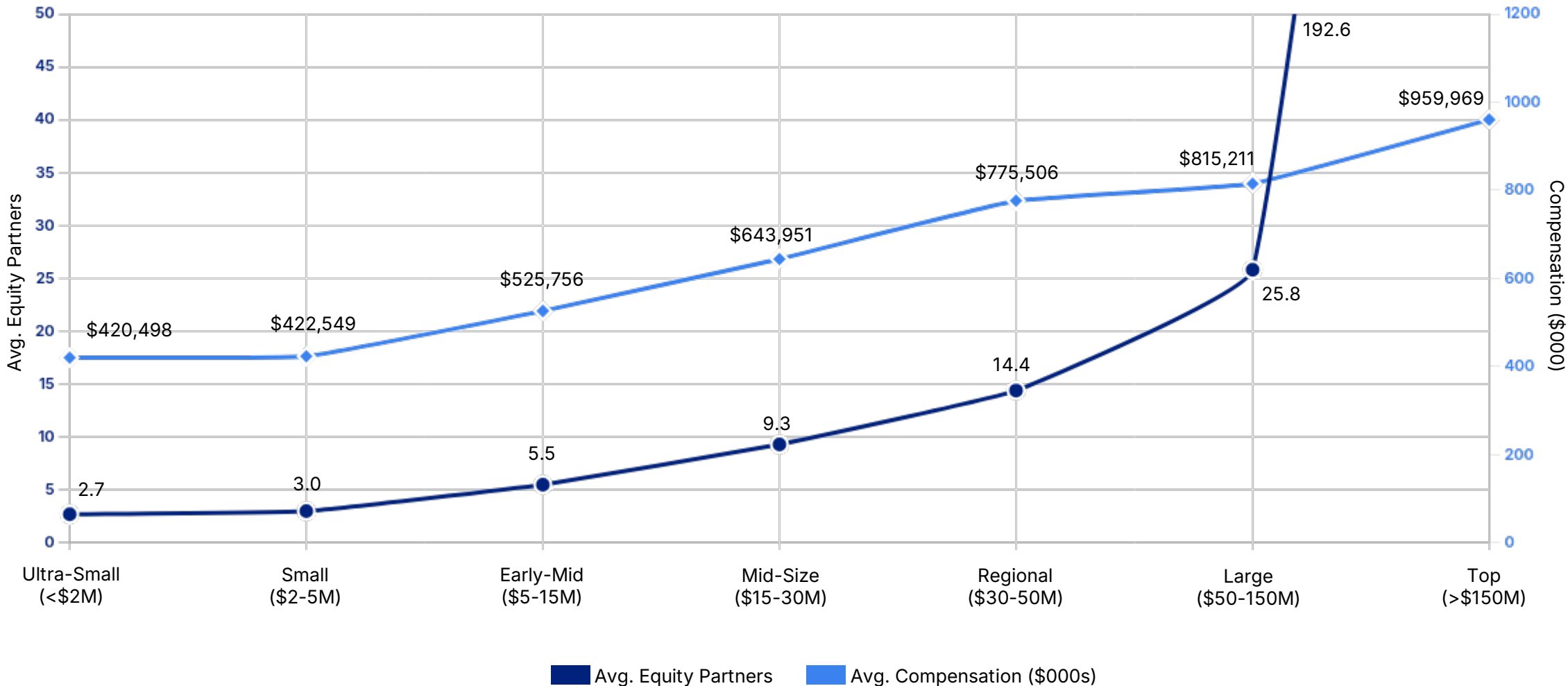
Only **46%** of firms have a documented succession plan. Beyond \$30M net revenue, formal planning becomes a competitive differentiator, with high-performing firms **1.4x** more likely to maintain written strategies.



Gender Diversity Correlation

Higher female equity partner representation correlates with stronger firm performance, particularly within mid-size and regional firm segments, indicating measurable economic benefits tied to leadership diversity.

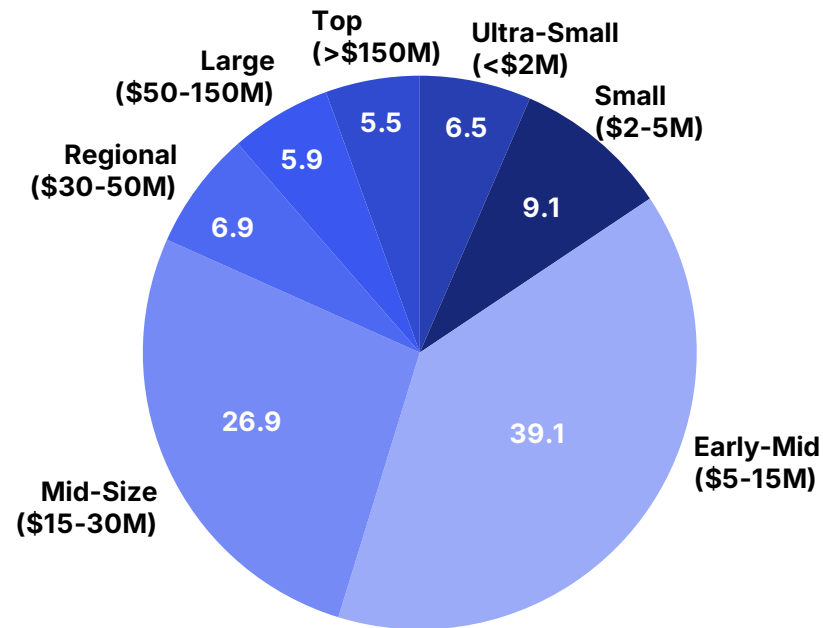
Partner Evolution by Firm Size



Market Distribution Analysis

The distribution of firms across segments reveals market consolidation dynamics. The Early-Mid segment represents the largest cluster (39.1% of firms), indicating this as both a common growth plateau and a critical transition point where firms must evolve their partnership structures to advance.

CPA & Accounting Firms Market Distribution by Net Revenue Segment (n=506 firms)



Firm Count

Ultra-Small: 33 | Small: 46 | Early-Mid: 198
Mid-Size: 136 | Regional: 35 | Large: 30 | Top: 28



Equity Partner Evolution Pathways

As firms scale, their equity partner models undergo predictable transformations in demographics, compensation structure, and governance frameworks. Understanding these evolutionary pathways provides strategic insights for firms planning their growth trajectory.



Strategic Insight: The Leverage Curve

2025 data indicates a modest tightening of the partner pool toward equity concentration, interpreted as a move toward streamlined ownership as firms prepare for generational transition. That angle was absent in 2024. The data reveals a clear inverse relationship between firm size and equity partner concentration. As firms grow, they systematically evolve toward models with proportionally more non-equity partners—until reaching the Top segment, where the trend reverses with a more exclusive equity model (4.4:1 ratio) that rewards strategic leadership contributions.

Equity Partner Demographics

Demographic shifts and leadership trends by firm size.

Market Segment	Avg. Partner Age	Female Equity %	MP/Owner Age	MP/Owner Tenure (Years)
Ultra-Small (< \$2M)	55.2	24.4%	56.5	11.0
Small (\$2-5M)	55.5	24.5%	56.8	11.5
Early-Mid (\$5-15M)	53.5	26.1%	56.9	9.6
Mid-Size (\$15-30M)	53.3	25.4%	56.9	9.5
Regional (\$30-50M)	52.9	26.1%	56.6	7.9
Large (\$50-150M)	53.5	23.7%	57.2	8.7
Top (> \$150M)	52.6	25.9%	61.2	10.3

Age Curve

Partner age decreases systematically with firm size, from 55.2 years in Ultra-Small firms to 52.6 years in Top firms, reflecting more structured career progression pathways in larger firms.

Diversity Peaks

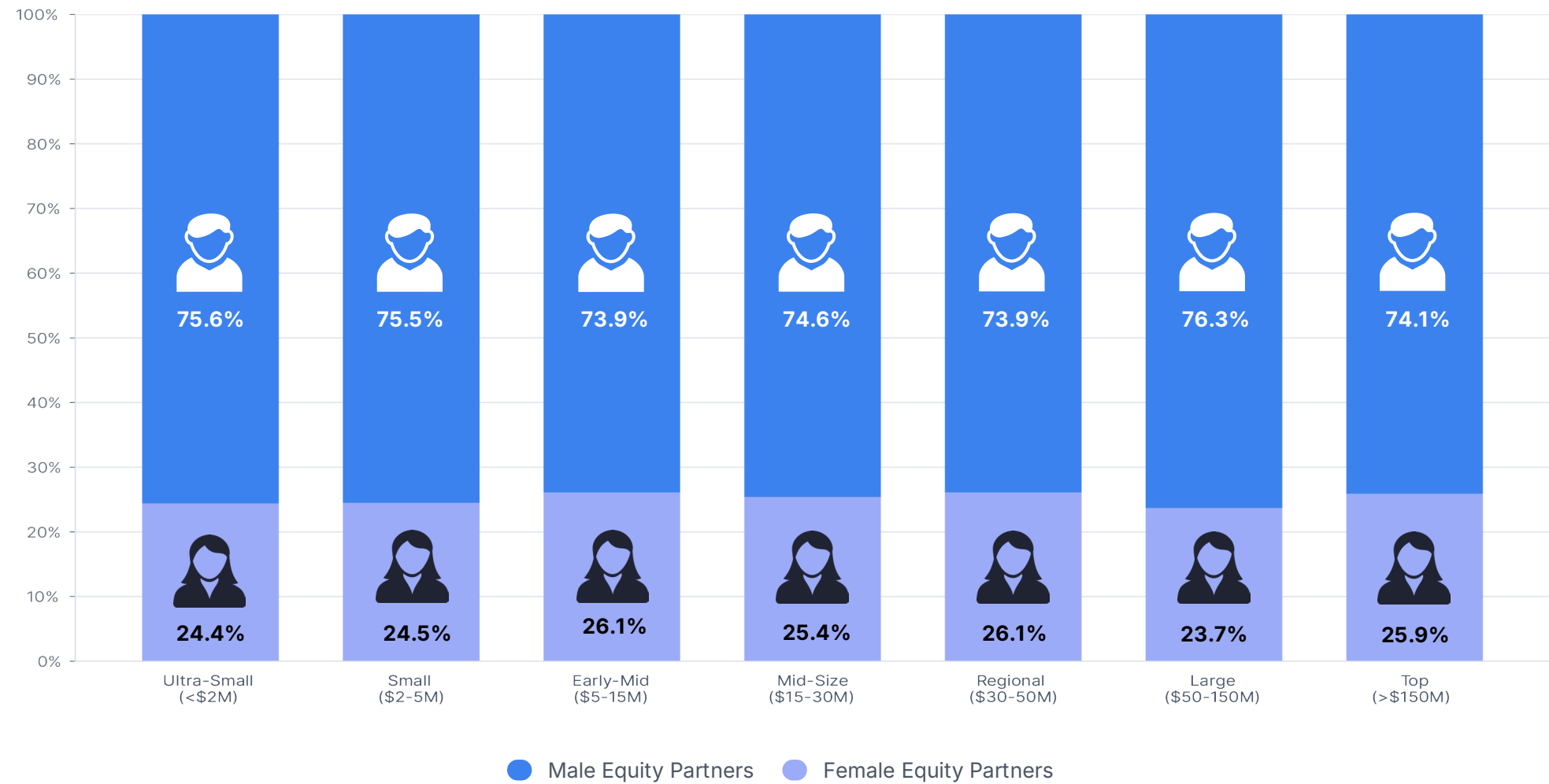
Female equity partnership shows a non-linear pattern, with variations across segments ranging from 23.7% to 26.1%, suggesting potential gender diversity advantages in specific growth stages.

Tenure Rotation

Managing partner tenure follows a U-shaped pattern across firm sizes, declining from 11.5 years to 10.3 years, indicating shift from founder leadership to formal CEO governance.

Gender Diversity Strategy

The data reveals significant variations in female equity partner representation across firm segments. While the overall trend shows opportunities for improvement across all segments, the strategic approach to gender diversity evolves as firms scale.



YoY Trends: Equity Partner Compensation

Average Equity Partner Compensation by Market Segment (USD)



 Key Insight

The compensation narrowing visible in 2025 is concentrated at the Top tier, where firms admitted additional equity partners and diluted per-partner averages. Across other segments, equity partner counts held steady, meaning their compensation movements reflect actual pay changes, not structural shifts in the partnership.

Partnership Compensation

Partnership economics demonstrate clear evolutionary patterns as firms scale, with compensation structures becoming increasingly sophisticated and strategically aligned with firm growth objectives.

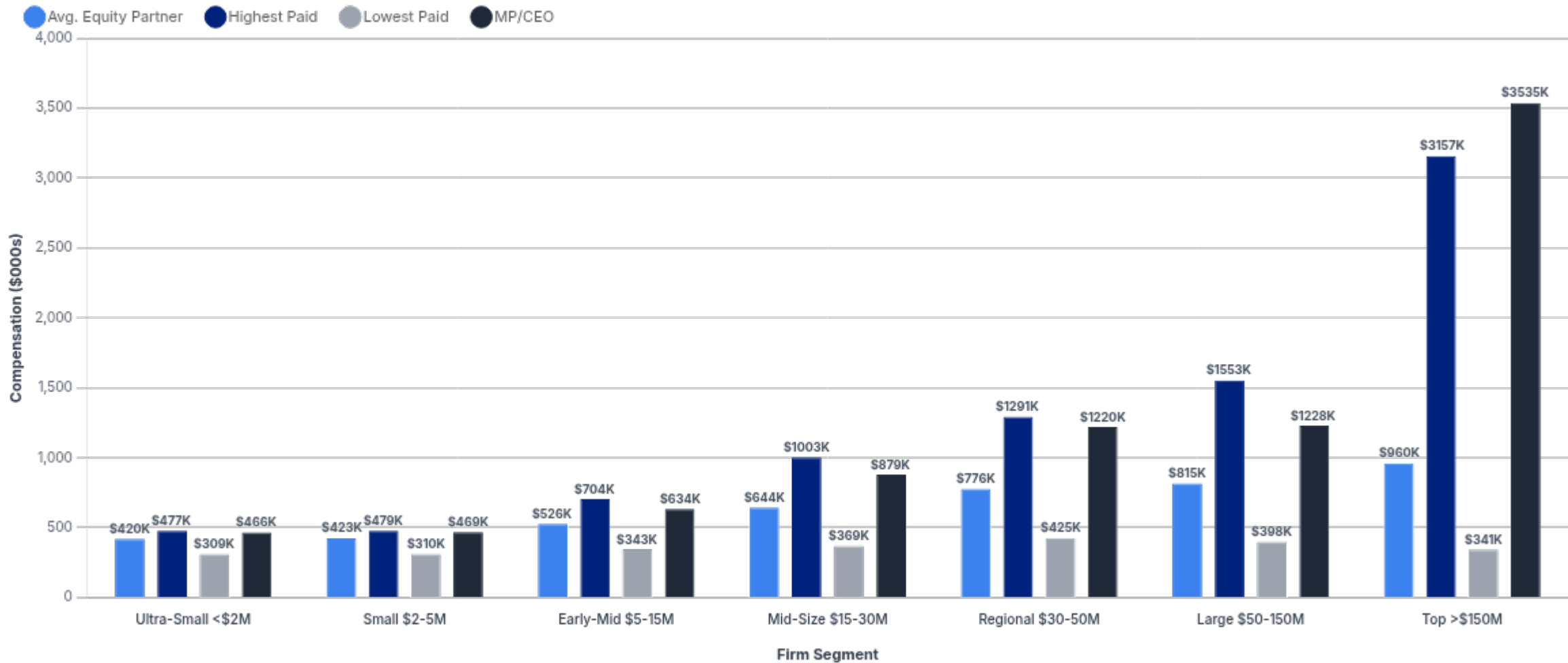
Market Segment	Avg. Equity Partner Comp.	Highest Paid Partner	Lowest Paid Partner	Comp. Ratio (High:Low)	MP/CEO Comp.
Ultra-Small (<\$2M)	\$420,498	\$476,951	\$308,840	1.5:1	\$466,475
Small (\$2–5M)	\$422,549	\$479,278	\$310,346	1.5:1	\$468,751
Early-Mid (\$5–15M)	\$525,756	\$704,354	\$342,700	2.1:1	\$633,769
Mid-Size (\$15–30M)	\$643,951	\$1,003,410	\$369,410	2.7:1	\$878,750
Regional (\$30–50M)	\$775,506	\$1,290,665	\$424,588	3.0:1	\$1,219,798
Large (\$50–150M)	\$815,211	\$1,552,528	\$398,064	3.9:1	\$1,227,782
Top (>\$150M)	\$959,969	\$3,156,911	\$340,947	9.3:1	\$3,534,822



Strategic Insight: Economics of Scale

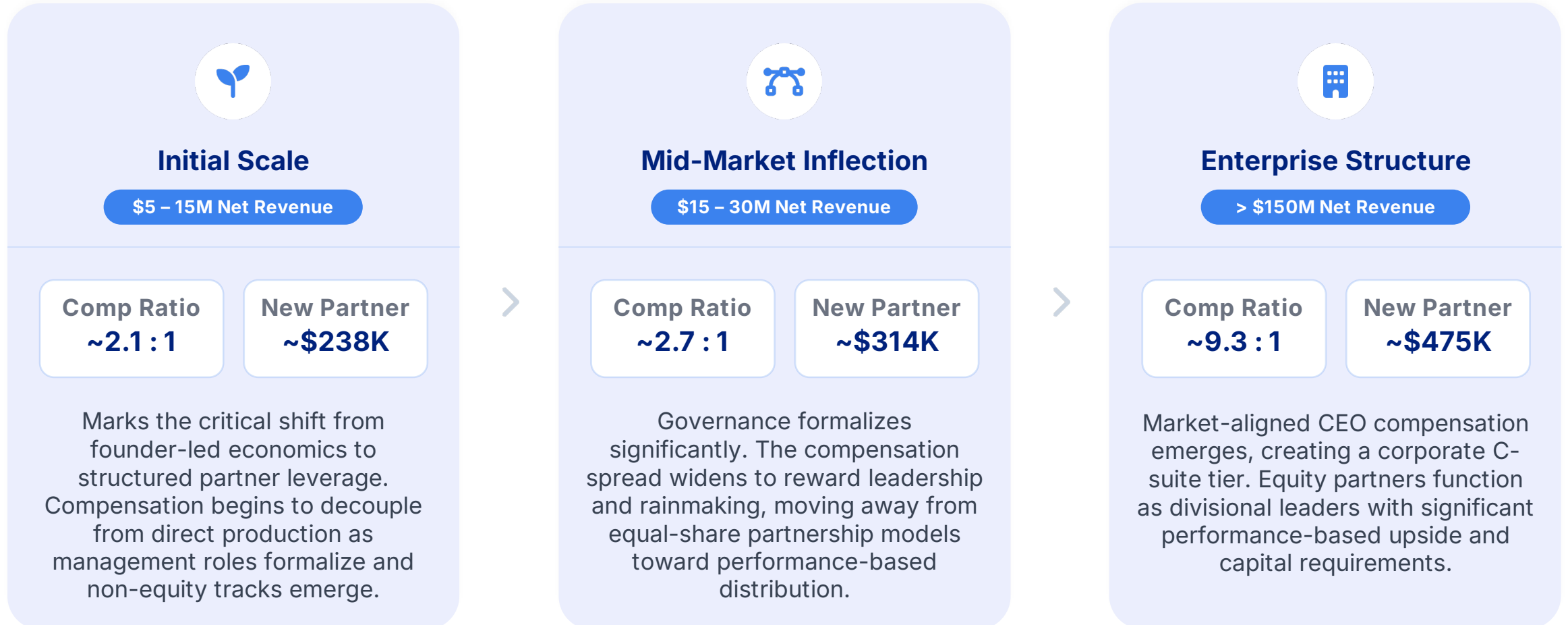
Compensation spreads widen significantly with scale. The Mid-Size segment (\$15–30M) marks a critical inflection point where the compensation ratio expands to 2.7:1, signaling a shift from equal-share models to performance-based structures. At the Top tier, the 9.3:1 ratio reflects the emergence of true corporate C-suite economics, where managing partners and rainmakers are compensated based on enterprise value creation rather than personal production.

Partner Compensation Evolution



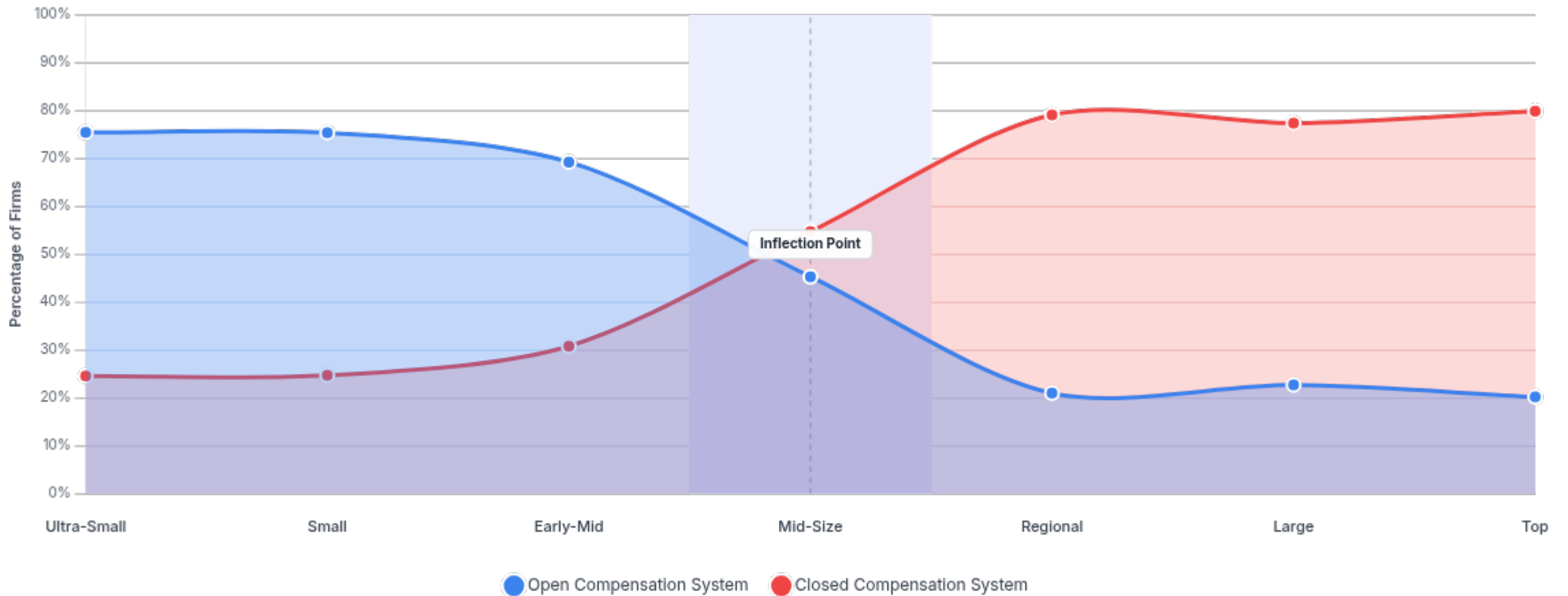
Compensation Transformation Points

The data reveals three distinct transformation points in partner compensation structure, reflecting increasing scale, governance maturity, and market alignment:



Compensation Governance Evolution

As firms grow, their approach to determining partner compensation undergoes systematic transformation, moving from predominantly open systems in smaller firms to committee-driven, closed systems in larger organizations.



Compensation Governance Evolution

Shift from open to closed compensation models by net revenue tier.

Market Segment	Net Revenue Range	Open Comp. System	Closed Comp. System	Primary Decision Method
Ultra-Small	<\$2M	75.40%	24.60%	MP/Owner (31.60%)
Small	\$2–5M	75.30%	24.70%	MP/Owner (34%)
Early-Mid	\$5–15M	69.20%	30.80%	Pre-defined Formula (28%)
Mid-Size	\$15–30M	45.30%	54.70%	Compensation Committee (55%)
Regional	\$30–50M	21.00%	79.00%	Compensation Committee (61%)
Large	\$50–150M	22.70%	77.30%	Compensation Committee (69%)
Top	>\$150M	20.20%	79.80%	Compensation Committee (42%)

Governance Inflection Point

The mid-size segment (\$15–30M) represents the critical inflection point where firms typically shift from predominantly open compensation systems (45%) to predominantly closed systems (55%). This transition coincides with the formalization of compensation committees, marking a fundamental governance shift essential for scaling beyond regional boundaries.

Partner Admission & Succession Dynamics

Succession planning adoption and admission metrics by segment

Market Segment	New Equity Partners Admitted	Avg. Buy-in Amount	Formal Succession Plan (%)	Mandatory Retirement Policy (%)
Ultra-Small (<\$2M)	11.50%	No Formal Buy-in	18.40%	33.40%
Small (\$2–5M)	12.00%	No Formal Buy-in	18.50%	33.60%
Early-Mid (\$5–15M)	22.50%	\$111,029	34.00%	65.70%
Mid-Size (\$15–30M)	36.72%	\$127,591	43.40%	74.90%
Regional (\$30–50M)	50.00%	\$150,598	68.60%	76.30%
Large (\$50–150M)	54.00%	\$150,509	61.60%	85.50%
Top (> \$150M)	56.00%	\$174,796	80.90%	83.00%

 Governance Risk: The Succession Gap

Only 46% of firms industry-wide have a formalized succession plan, and 2025 data shows that missing or informal planning directly correlates with net revenue volatility, client attrition risk, and lower upward mobility for high-potential senior managers. Equity partners now play a critical role in institutionalizing leadership continuity.

Strategic Growth Levers

Operational shifts required to navigate critical growth plateaus



Initial Scaling

Small → Early-Mid

\$2-5M → \$5-15M

Formula-based Comp: Introduction of objective metrics to replace subjective founder allocation.

Leverage Increase: Expansion of non-equity partner layer (0.6 → 1.5 avg) to increase capacity.

Policy Formalization: Implementation of mandatory retirement policies (18% → 34% adoption).

Strategic Focus

Develop initial specialized service lines and departmental structure while maintaining entrepreneurial culture.



Governance Shift

Early-Mid → Mid-Size

\$5-15M → \$15-30M

Closed Compensation: Critical shift (31%) to closed systems (55%).

Committee Structure: Formation of compensation committees to depersonalize decisions.

Partner Admission: Higher admission rates to support specialized roles.

Strategic Focus

Fundamental governance transformation enabling scalable departmental structure and specialized partner roles.



Professionalization

Mid-Size → Regional

\$15-30M → \$30-50M

Succession Planning: Formalization of written plans (43% → 69% adoption).

Comp Differentiation: Expanding ratio (2.7:1 → 3.0:1) to reward strategic growth.

C-Suite Layer: Implementation of professional management infrastructure.

Strategic Focus

Professional management infrastructure development and market expansion supported by strategic talent acquisition.

Partnership Model Transformation Framework

Based on our analysis of evolutionary patterns across segments, we have developed a strategic framework for partnership model transformation that addresses the unique challenges of each transition point.

Stage	Revenue Range	Partnership Characteristics	Governance Model
Founder-Driven	< \$5M	• High equity concentration • Minimal non-equity partners	Managing partner decision-making, open compensation systems.
Entrepreneurial	\$5-15M	• Emerging non-equity tier • Initial specialization	Formula-based systems, initial departmentalization.
Institutional	\$15-30M	• Strategic non-equity leverage • Formalized admission	Compensation committees, closed systems, succession planning.
Enterprise	>\$50M	• Strategic equity distribution • significant compensation differentiation	Board governance, professional management, market-competitive structures.



Structural Adaptation is Mandatory

The data confirms that firms cannot effectively scale past \$15M in net revenue using legacy founder-centric models. Successful evolution requires a deliberate shift toward closed compensation systems, higher staff-to-partner leverage ratios, and the formalization of non-equity partner tracks to sustain profitability and growth.



Governance Preserves Value

As equity concentration dilutes with scale, robust governance becomes the primary driver of firm value. Firms that implement compensation committees and documented succession plans early in their mid-market transition demonstrate significantly lower net revenue volatility and higher partner retention rates.



Future Outlook

Future-ready firms must prioritize the decoupling of titles from equity ownership and integrate AI-driven leverage to break the linear relationship between headcount and net revenue. Leaders should benchmark their governance maturity against these stages to close critical gaps before market consolidation pressures intensify.



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Note: All data in this report is based on financial year 2024.

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